CASH FLOW STATEMENT

Complete Easy Script - Classification, Cash Equation and Basic CFO Using the Indirect Method

1. What is a Cash Flow Statement?

A Cash Flow Statement is simply a record of **cash coming into and going out of a business**. Think of it like your wallet. If you start with Rs. 1,000, receive Rs. 500 and spend Rs. 300, you finish with Rs. 1,200. A company does the same thing on a much bigger scale.

The two basic questions are: Where did the cash come from? And where did the cash go?

2. First Logic: Profit is NOT the Same as Cash

Suppose a company sells goods worth Rs. 10,000 to a customer, but the customer says, "I will pay next month." The company has recorded a sale, and this may increase profit, but the company has not received the cash yet. Therefore:

PROFIT != CASH

This is one of the main reasons we prepare a Cash Flow Statement. Profit tells us what the business earned according to accounting rules. Cash flow tells us what actually happened to cash.

3. The Three Parts of a Cash Flow Statement

Category	Meaning	Memory Trick
CFO - Operating Activities	Cash related to normal day-to-day business operations.	**RUN** the business
CFI - Investing Activities	Cash related mainly to buying/selling long-term assets and investments.	**BUILD/GROW** the business
CFF - Financing Activities	Cash related to obtaining or returning finance.	**FUND** the business
Non-cash	Accounting item where no actual cash moves.	**NO CASH** moved

4. CFO - Cash Flow from Operating Activities

CFO means cash related to **running the normal business**. Ask: "Is this transaction part of the company's normal day-to-day operations?" Examples include cash received from customers, cash paid to suppliers, salaries, rent and other operating expenses.

Example: Cash received from customers = CFO positive. Salary paid = CFO negative. The logic is simple: these cash movements happen because the company is running its regular business.

5. CFI - Cash Flow from Investing Activities

CFI is mainly related to **buying or selling long-term assets and investments**. Suppose a company buys a machine for Rs. 50,000. Cash leaves the company, so it is **CFI - Rs. 50,000**. If the company later sells an old machine for Rs. 20,000, cash comes in, so it is **CFI + Rs. 20,000**.

Easy logic: buying a long-term asset usually uses cash; selling one usually brings cash in.

6. CFF - Cash Flow from Financing Activities

CFF tells us how the company **gets finance or returns finance**. Suppose a company takes a bank loan of Rs. 1,00,000. Cash enters the company, so this is **CFF +**. If the company repays Rs. 20,000 of the loan principal, cash leaves, so this is **CFF -**. Issuing shares for cash is also financing inflow, while repayment of borrowings and dividends paid are financing outflows.

7. Non-Cash Items

A non-cash item affects accounting figures but does not involve an actual cash movement. The easiest example is **depreciation**. Suppose a machine has depreciation of Rs. 10,000 this year. Did the company actually hand Rs. 10,000 to someone as depreciation? No. Therefore depreciation is a **non-cash expense**.

8. Classification Practice

Transaction	Classification	Logic
Cash received from customers	CFO +	Normal business
Salary paid	CFO -	Normal business expense
Machine purchased	CFI -	Buying long-term asset
Machine sold for cash	CFI +	Selling long-term asset
Bank loan received	CFF +	Getting finance
Loan principal repaid	CFF -	Returning finance
Shares issued for cash	CFF +	Getting owner's finance
Dividend paid	CFF -	Cash returned to shareholders
Depreciation	Non-cash	No actual cash moves

Memory trick: RUN = CFO | BUILD = CFI | FUND = CFF | NO CASH = Non-cash

9. Opening Cash + CFO + CFI + CFF = Closing Cash

Now connect all three sections. Suppose a company starts with Rs. 50,000 cash. Its CFO is +Rs. 30,000, CFI is -Rs. 20,000, and CFF is +Rs. 10,000.

Opening Cash + CFO + CFI + CFF = Closing Cash

Rs. 50,000 + Rs. 30,000 - Rs. 20,000 + Rs. 10,000 = **Rs. 70,000 Closing Cash**

Logic: We started with Rs. 50,000. Normal operations added Rs. 30,000. Investing used Rs. 20,000. Financing added Rs. 10,000. So we finish with Rs. 70,000.

10. CFO Using the Indirect Method

The indirect method starts with **accounting profit** and converts it into **actual operating cash**. Why do we need adjustments? Because profit is not always cash.

START WITH NET PROFIT -> MAKE CASH ADJUSTMENTS -> ARRIVE AT CFO

11. Depreciation - ADD It Back

Suppose Net Profit is Rs. 1,00,000 and depreciation of Rs. 20,000 was deducted while calculating that profit. Depreciation reduced accounting profit, but no cash actually left the company. Therefore, we **add it back**.

Depreciation = ADD BACK

12. Increase in Debtors / Accounts Receivable - SUBTRACT

Suppose you sell goods worth Rs. 10,000 but the customer will pay later. The sale may increase profit, but you have not received the cash. Your debtors/receivables increase. Therefore an **increase in debtors is subtracted**.

Easy logic: **The customer is holding my cash.** If debtors decrease, customers are paying us, so cash comes in and we add it.

Debtors UP = SUBTRACT | Debtors DOWN = ADD

13. Increase in Inventory - SUBTRACT

Suppose you buy Rs. 15,000 of extra stock. Inventory increases, but cash was used to obtain that stock. Therefore, **inventory increase is subtracted**. If inventory decreases, the adjustment is added.

Inventory UP = SUBTRACT | Inventory DOWN = ADD

14. Increase in Creditors / Accounts Payable - ADD

Suppose a supplier gives you goods today but allows you to pay next month. Your creditors increase, but the cash has not left your business yet. You are still holding that cash. Therefore, an **increase in creditors is added**. If creditors decrease, you have paid them, so cash leaves and we subtract.

Creditors UP = ADD | Creditors DOWN = SUBTRACT

15. Golden Working Capital Rule

Item	Increase	Decrease	Logic
Current Assets	SUBTRACT	ADD	Move opposite to cash
Current Liabilities	ADD	SUBTRACT	Increase means cash is retained

Examples of current assets: debtors/receivables, inventory, prepaid expenses.
Examples of current liabilities: creditors/payables, outstanding expenses.

16. Complete CFO Example - Indirect Method

Question: Net Profit = Rs. 1,00,000; Depreciation = Rs. 20,000; Debtors increased by Rs. 10,000; Inventory increased by Rs. 15,000; Creditors increased by Rs. 5,000. Find CFO.

Step	Adjustment	Amount
Net Profit	Starting point	Rs. 1,00,000
Depreciation	Add - non-cash expense	+ Rs. 20,000
Debtors increased	Subtract - cash not received	- Rs. 10,000
Inventory increased	Subtract - cash used in stock	- Rs. 15,000
Creditors increased	Add - supplier not yet paid	+ Rs. 5,000
CFO		**Rs. 1,00,000**

Calculation: Rs. 1,00,000 + Rs. 20,000 - Rs. 10,000 - Rs. 15,000 + Rs. 5,000 = **Rs. 1,00,000 CFO**.

17. Complete Cash Flow Example

Now suppose the same company has CFO = +Rs. 1,00,000. It buys machinery for Rs. 40,000, so CFI = -Rs. 40,000. It receives a bank loan of Rs. 30,000, so CFF = +Rs. 30,000. Opening Cash is Rs. 50,000.

Rs. 50,000 + Rs. 1,00,000 - Rs. 40,000 + Rs. 30,000 = Rs. 1,40,000

Closing Cash = Rs. 1,40,000

18. Final Exam Revision Script

When I see a transaction, I first ask: **Why is the cash moving?**

If it is related to normal day-to-day business, I classify it as **CFO**.
If it is related to buying or selling a long-term asset or investment, I classify it as **CFI**.
If it is related to obtaining or returning finance, I classify it as **CFF**.
If no actual cash moves, I treat it as a **non-cash item**.

Then I remember the main equation: **Opening Cash + CFO + CFI + CFF = Closing Cash.**

For CFO under the indirect method, I start with profit. I add back depreciation because it is a non-cash expense. An increase in current assets such as debtors or inventory is subtracted. A decrease in current assets is added. An increase in current liabilities such as creditors is added, while a decrease is subtracted. This converts accounting profit into actual operating cash.

FINAL MEMORY BOX

RUN = CFO
BUILD = CFI
FUND = CFF
NO CASH MOVED = NON-CASH

Opening Cash + CFO + CFI + CFF = Closing Cash

Indirect CFO: Start with Profit + Non-cash expenses - Increase in Current Assets + Decrease in Current Assets + Increase in Current Liabilities - Decrease in Current Liabilities.

Most important idea: PROFIT IS NOT ALWAYS CASH.